

Supply & Demand Trading Framework

A beginner-to-expert outline for market structure, zone selection, liquidity, execution, risk, and review.

This guide organizes a practical trading education path from basic auction logic to robust execution and professional process control. The emphasis is process before prediction: context -> location -> trigger -> risk -> review.

Beginner	Intermediate	Expert
Recognize structure, simplify decisions, and protect capital.	Add confirmation, score locations, and systematize execution.	Control regime risk, research quality, and execution variance.

Designed for discretionary traders in stocks, futures, forex, crypto, and CFDs who want a cleaner framework for reading price action.

Educational use only

Trading involves substantial risk. Leverage and margin can magnify gains and losses. Examples in this guide are simplified teaching examples, not investment advice or performance promises.

How to read this guide

Read Parts I-V before trading live. Start with one market, one session, and one setup. The fastest path is depth, not more vocabulary.

Guide Map and Reading Path

Start with market context. Everything else is downstream of that.

This document is structured as an outline rather than a textbook. Use it as a workbook: study a concept, mark up charts, replay examples, and then review your own trades with the same language.

Section	What it gives you
Part I. Core concepts	Auction logic, market structure, zone anatomy, liquidity, and timeframe alignment.
Part II. Playbooks	What beginners, intermediate traders, and advanced traders should focus on next.
Part III. Execution	Entry, stop placement, target logic, and trade management.
Part IV. Risk and process	Position sizing, leverage discipline, psychology, and review loops.
Part V. Training tools	A 30/60/90-day curriculum, checklists, glossary, and selected references.

Use the level labels below to decide where to spend your energy:

Beginner focus	Intermediate focus	Expert focus
Location, bias, and survival. Learn to say "no trade" often.	Confirmation, trade scoring, and consistent execution.	Regime classification, research discipline, and variance control.
One-sentence test Before entering a trade, you should be able to explain the setup in one sentence: "Higher-timeframe bias is X, price is returning to Y location, the lower-timeframe trigger is Z, invalidation is here, and the first objective is there."		

If you cannot explain the trade simply, the usual problem is not lack of information - it is lack of clarity.

1. Executive TL;DR

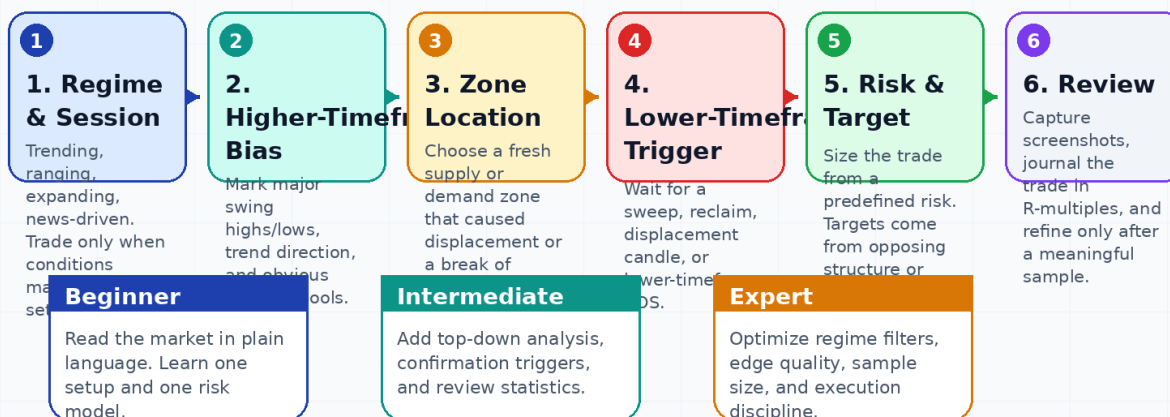
A clean process usually beats a clever prediction.

The core framework is simple: determine context, find location, wait for a trigger, size the risk, and review the result in R-multiples. Everything in this guide serves one of those steps.

- Bias first, entry second. A beautiful entry against dominant structure is often still a weak trade.
- A zone is an area, not a magic line. Use precision only after context is clear.
- The move away from the zone matters more than the zone label. Strong departure is proof.
- Fresh continuation setups are easier for developing traders than countertrend hero trades.
- A sweep is not a trade by itself. Wait for reclaim, displacement, or structure shift after the sweep.
- Predefine stop, target, and size before entry. If size is vague, the plan is vague.
- Think in R-multiples so that wins and losses are measured in process units, not emotion-heavy dollar amounts.
- Your review process is part of the edge. Repeated screenshots and notes create pattern recognition.

The Trading Framework in One Page

Context → Location → Trigger → Risk → Review



Rule of thumb: if you cannot explain the trade in one sentence before entering, you do not yet have a process — you have an opinion.

Figure 1. A process-first framework: context → location → trigger → risk → review.

TL;DR in one sentence

Use higher-timeframe structure to decide direction, use supply/demand zones to decide where price may react, use lower-timeframe behavior to decide whether the reaction is actually tradable, and then size the trade so a normal loss is survivable.

2. Auction Logic: Why Price Rotates

Markets move between balance, imbalance, and the search for liquidity.

Supply and demand is a practical way to describe how price moves when buyers and sellers are no longer in temporary balance. Price does not travel in a straight line; it rotates through phases of acceptance, rejection, expansion, and pullback.

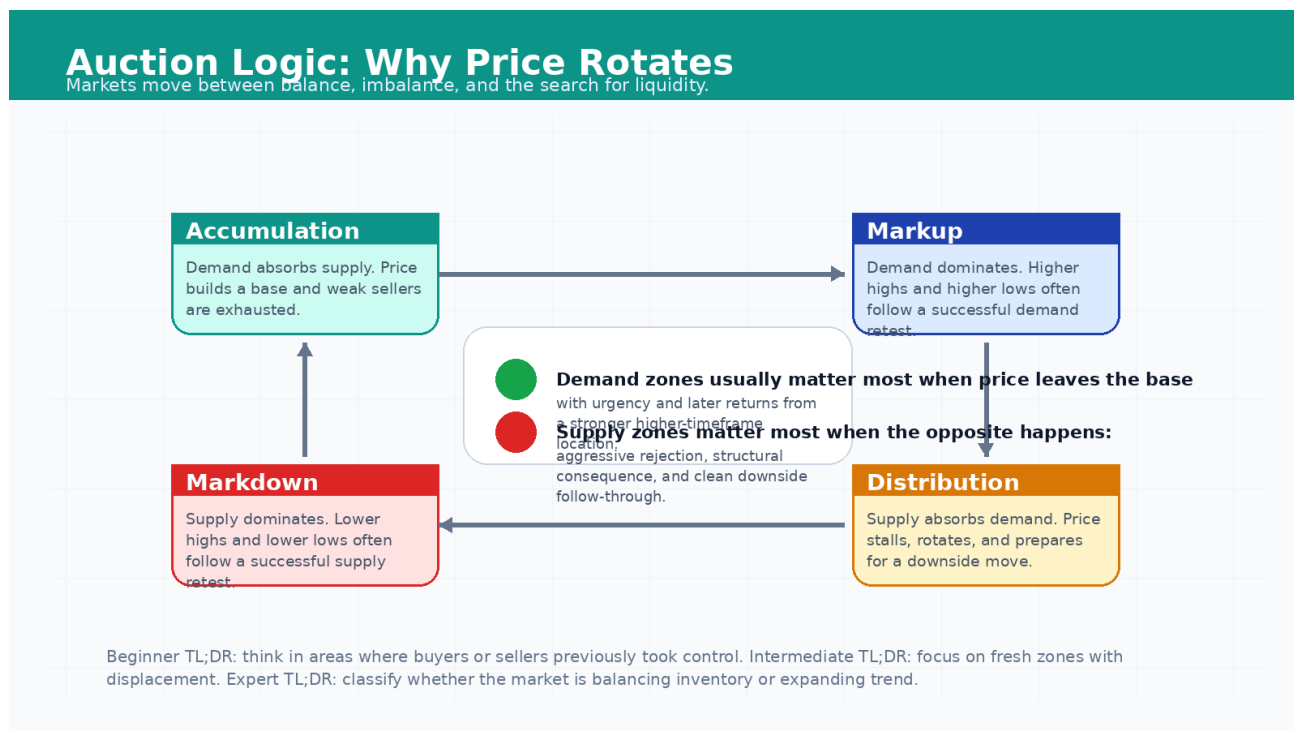


Figure 2. Use the accumulation -> markup -> distribution -> markdown cycle as context, not as a prediction machine.

- A zone matters when it launched an obvious move, not when price simply paused there.
- An impulsive departure suggests urgency. A weak drift suggests uncertainty or low-quality order flow.
- Context changes meaning: a demand zone in a strong uptrend is different from demand sitting directly under higher-timeframe supply.
- Auction logic is fractal. The same concepts appear on weekly, daily, intraday, and execution timeframes.

Beginner TL;DR	Intermediate TL;DR	Expert TL;DR
- Think in simple terms: when demand clearly overwhelms supply, price expands higher; when supply dominates, price expands lower. - Mark obvious swing highs, lows, and impulsive moves first.	- Separate range behavior from trend behavior; a zone inside chop is usually weaker than a zone that launched expansion. - Note whether the zone led to a structure break or only a temporary bounce.	- Classify regime first: trend, range, squeeze, or post-news expansion. - Ask whether the market is accepting higher/lower prices or sharply rejecting them.

3. Market Structure: Bias Before Entry

Use structure to decide direction; use zones to decide location.

Market structure is the backbone of supply/demand trading. Higher highs and higher lows imply bullish control; lower highs and lower lows imply bearish control. A zone is stronger when it supports that broader structural read.

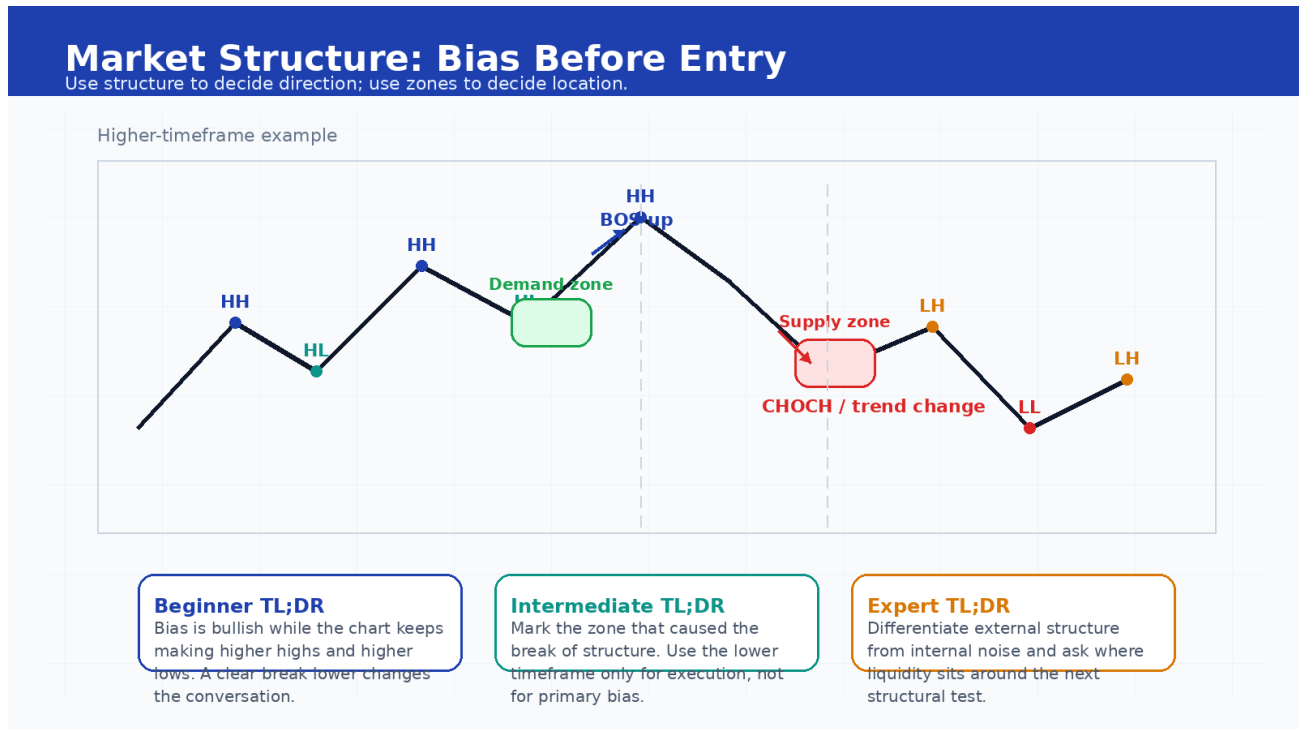


Figure 3. Structure provides directional bias; zones provide a location where that bias can express itself.

- Break of structure (BOS) usually confirms continuation: price took a meaningful prior swing and kept going.
- Change of character (CHOCH) or trend change signals loss of prior control, but not every CHOCH becomes a full reversal.
- Displacement matters: a strong close through structure carries more information than a brief wick.
- The lower-timeframe break is most useful when it happens at a higher-timeframe location that already made sense.

Beginner TL;DR	Intermediate TL;DR	Expert TL;DR
- Trade with the cleanest structure you can see. In early development, continuation beats prediction. - If the chart is making HH/HL, favor demand zones; if LH/LL, favor supply zones.	- Use a lower-timeframe BOS inside the higher-timeframe zone as a trigger - not as a substitute for the higher-timeframe idea. - Learn to separate internal pullback structure from the major swing structure.	- Read nested structure: external trend, internal pullback, and execution structure can differ at the same time. - An expert edge comes from knowing which structure matters for this exact trade.

4. Zone Anatomy: Continuation, Reversal, and Drawing Rules

The reaction matters more than the label - but the label still organizes your thinking.

A supply or demand zone is usually drawn around the last opposing candle or compact base before the move that created clear displacement. The departure is the proof. The base is only the launch point.

Zone Archetypes: Continuation and Reversal

The rectangle is not the trade. The reaction after return is the trade.

Rally-Base-Rally

Demand

Continuation demand: price pauses, holds the base, and expands higher.

Drop-Base-Drop

Supply

Continuation supply: price pauses, holds the base, and expands lower.

Drop-Base-Rally

Demand

Reversal demand: selloff exhausts, base forms, then control shifts upward.

Rally-Base-Drop

Supply

Reversal supply: rally exhausts, base forms, then control shifts downward.

Beginner: start with the two continuation patterns only. Intermediate: add reversal patterns when they coincide with structure shift and liquidity sweep. Expert: grade each zone by freshness, displacement, context, and time spent at the base.

Figure 4. Four common zone archetypes: continuation and reversal versions of supply and demand.

1. Start from the move that broke structure or created the most meaningful displacement.
2. Locate the last opposing candle or compact base that preceded that move.
3. Include the wick/high/low if it participated in the rejection; do not cut off the evidence.
4. Avoid over-refining the box. If the zone becomes too tiny or messy, step up a timeframe rather than drilling lower forever.
5. Score the zone for freshness, departure quality, structural significance, and whether it has already been mitigated.

High-quality zone		Weak or lower-quality zone	
- Leaves with clear displacement and little hesitation. - Caused a BOS or meaningful expansion. - Fresh or lightly mitigated. - Aligned with higher-timeframe structure. - Sits in a clean location, not buried in chop.		- Drifts away slowly with no urgency. - Did not change structure or produce expansion. - Has been tapped multiple times already. - Countertrend with no shift in control. - So large that it covers most of the range.	
Beginner TL;DR	Intermediate TL;DR	Expert TL;DR	
- Start with fresh continuation zones only. They are easier to read than complex reversals. - Do not obsess over perfect precision. Good location and clear invalidation matter more.	- Add reversal zones only when paired with a structure shift, sweep, or obvious liquidity event. - Grade zones instead of treating every box as equal.	- Think in terms of mitigation, efficiency, and where liquidity transfer likely occurred. - The best zones are often obvious in hindsight because they changed the auction materially.	

5. Liquidity Sweeps and False Breaks

The sweep is not the trade. The reaction after the sweep is what matters.

Price often probes obvious highs, lows, range edges, prior session extremes, and equal highs/lows because orders cluster there. A sweep can trigger stops, fill resting orders, or test whether price is accepted beyond the level. The key question is what happens next.

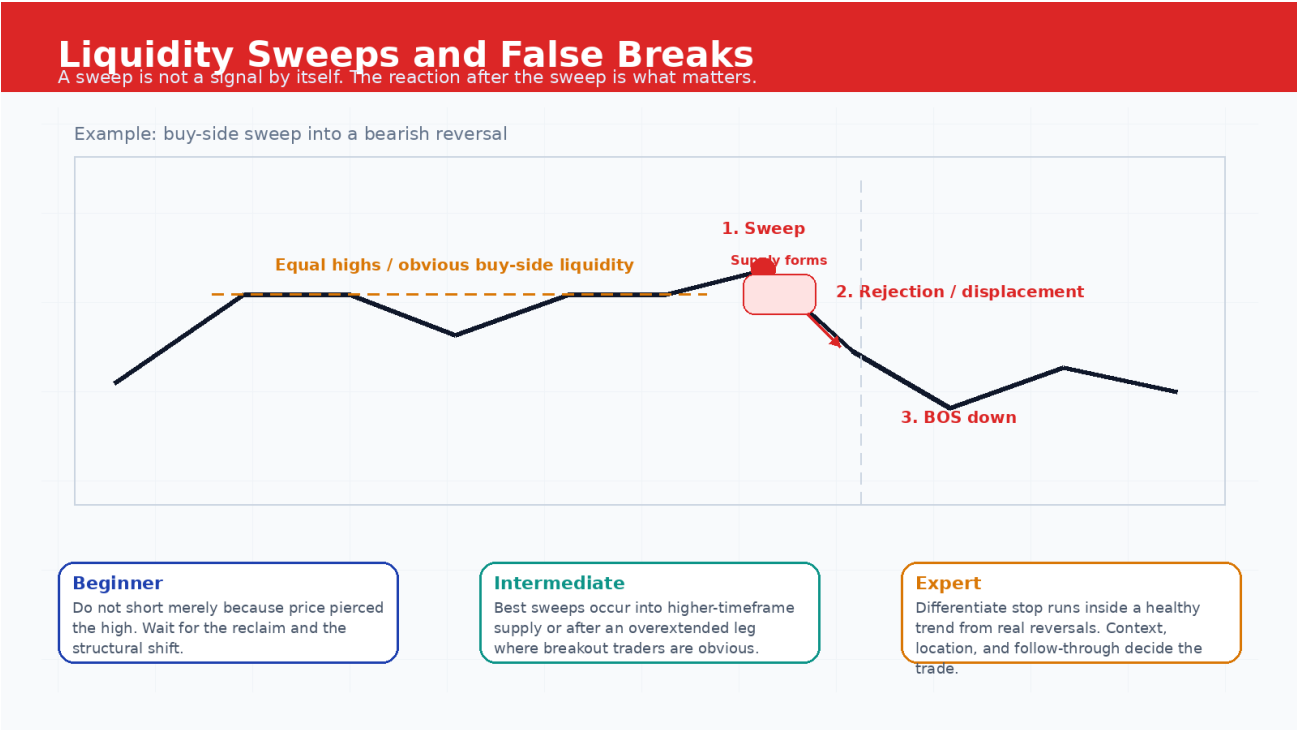


Figure 5. One common reversal sequence: sweep -> rejection -> displacement -> break of structure.

- Common liquidity pools include equal highs/lows, prior day high/low, session highs/lows, range boundaries, and obvious swing points.
- A rejection candle is useful, but a rejection plus displacement and a structure shift is stronger.
- If price sweeps a level and then accepts above/below it, fading the move can be dangerous.
- Avoid myth-making. Not every wick is "manipulation"; think in terms of clustered orders and acceptance versus rejection.

Beginner TL;DR	Intermediate TL;DR	Expert TL;DR
- Do not short or long just because price poked a level. Wait for the reclaim and structure clue. - The most useful sweep is the one that occurs at a higher-timeframe location.	- Pair sweeps with context: trend direction, session timing, and nearby opposing liquidity. - Use the post-sweep BOS/retest as a higher-quality trigger.	- Differentiate opportunistic sweeps inside healthy trends from genuine reversals at major locations. - The speed and quality of post-sweep displacement often reveal whether the auction truly flipped.

6. Three-Timeframe Architecture

Bias on the higher timeframe. Location on the middle timeframe. Execution on the lower timeframe.

A clean multi-timeframe process prevents two common mistakes: taking lower-timeframe signals against major context, and endlessly refining entries until the original idea disappears.

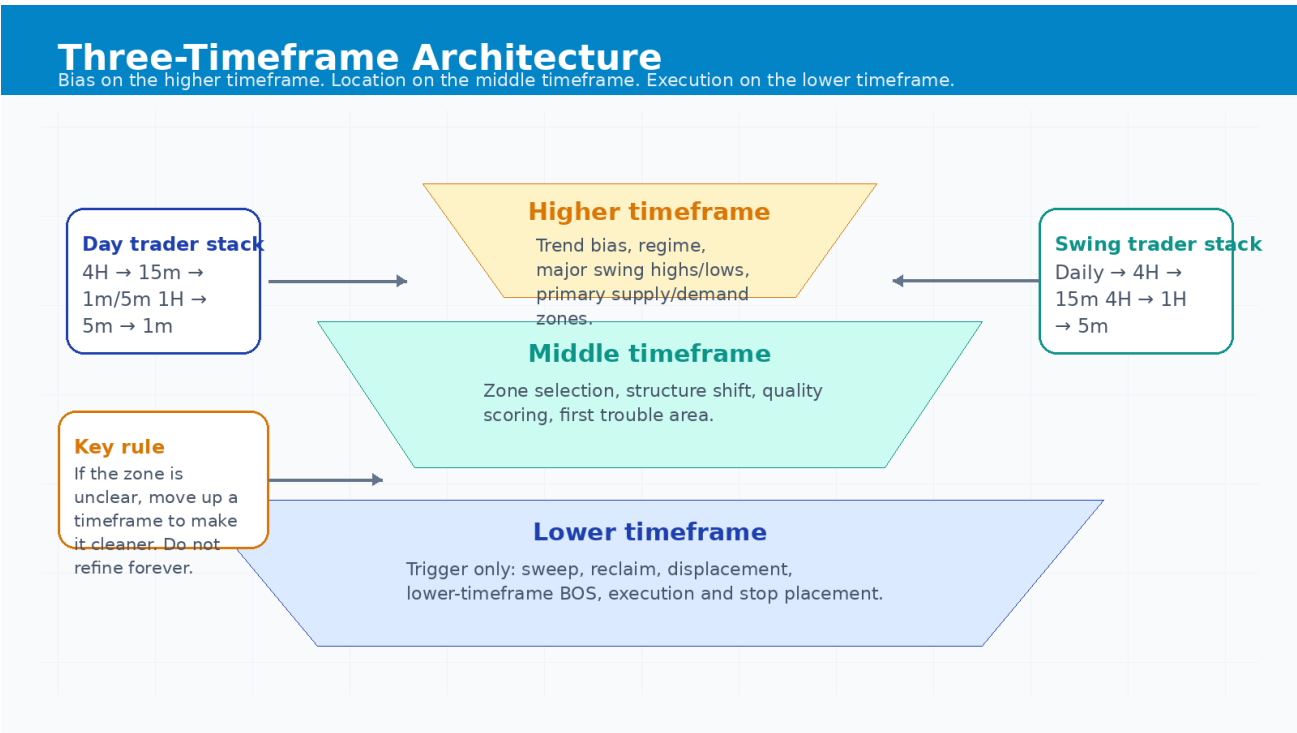


Figure 6. Each timeframe has a job. Do not ask the lower timeframe to solve the higher-timeframe problem.

1. Mark the higher-timeframe swing structure and major supply/demand zones.
2. Decide which side currently owns the market: trend continuation, trend loss, or range rotation.
3. On the middle timeframe, locate the zone that caused the latest displacement or break of structure.
4. Wait for price to return into that area instead of chasing the expansion.
5. On the execution timeframe, enter only after your trigger prints. If the zone is unclear, step up - not down.

Timeframe	Main job	Questions to ask
Higher timeframe	Bias and regime	Where are the major swing points? Which side controls structure?
Middle timeframe	Actionable location	Which zone caused the expansion? Is it fresh?
Lower timeframe	Trigger and risk	Did price reclaim, displace, or break structure inside the zone?

Key rule

If the execution-timeframe zone is messy, do not keep refining forever. Either move up one timeframe to find a cleaner structure, or pass on the trade.

7. Beginner Playbook

The beginner edge is simplicity and survival.

Beginners improve fastest by reducing variables. One market, one session, one setup, and small risk are enough to build genuine pattern recognition.

Default beginner setup

Trade only fresh continuation zones in the direction of higher-timeframe structure, and only after a lower-timeframe confirmation such as reclaim, displacement, or a local break of structure.

- Trade one market and one session long enough to learn its rhythm.
- Risk only 0.25%-0.50% per trade while learning. The goal is information, not income.
- Take at most one or two valid trades in a session. Overtrading destroys feedback quality.
- Skip scheduled major news until you understand how your instrument behaves around event risk.
- Save a before/after screenshot of every trade with the same annotation language.

Checklist item	Minimum beginner standard
Higher-timeframe bias	Clear HH/HL or LH/LL, or a clearly defined range.
Zone quality	Fresh, obvious, and not buried inside chop.
Trigger	Reclaim, displacement, or local BOS inside the zone.
Risk plan	Stop, first target, and position size defined before entry.
Post-trade review	Screenshot, result in R, and one lesson logged.

Common beginner traps

Countertrend trades out of boredom, moving the stop because a candle looked scary, taking oversized risk, refining zones until they no longer reflect the real structure, and measuring progress only by money instead of by rule adherence.

8. Intermediate Playbook

Intermediate traders separate good ideas from tradable ideas.

At the intermediate stage, your job is to convert "I see something" into "I can score it, execute it, and review it consistently." This is where top-down process and trade grading become valuable.

- Map the session in advance: dominant bias, key zones, expected liquidity pools, and invalidation points.
- Use only one or two trigger models. More triggers usually means more confusion, not more edge.
- Grade every location. Deleting B- and C-quality trades often improves results faster than finding new setups.
- Record stats by setup type, session, day of week, and whether the trade was continuation or reversal.
- Learn to manage to the first opposing liquidity and to hold a runner only when structure keeps confirming.

Zone score factor	High-quality evidence
Higher-timeframe alignment	Trade direction agrees with dominant structure or regime shift.
Freshness	First clean revisit or only light mitigation.
Departure quality	Fast, decisive expansion away from the zone.
Structural significance	Zone caused a BOS/CHOCH from a meaningful swing.
Liquidity context	Nearby sweep or obvious liquidity to fuel the move.
Session and news	Trade occurs in active conditions, away from avoidable event risk.

Intermediate upgrade

Keep a formal scorecard. A location is no longer "good" because it feels good; it is good because several objective pieces of evidence line up at the same time.

Good intermediate traders stop asking "Can I enter here?" and start asking "Does this trade deserve risk relative to the alternatives?"

9. Expert Playbook

Expertise is not more indicators. It is better filtering, cleaner execution, and stronger research discipline.

Advanced traders usually lose less edge to obvious mistakes, so the remaining work is subtler: regime classification, execution quality, statistical robustness, and complexity control.

- Tag the regime before the trade: trend, range, squeeze/compression, low-liquidity drift, or post-news expansion.
- Treat correlated positions as one risk bucket. Three highly correlated trades are not three independent ideas.
- Choose entry style deliberately: passive limit, confirmation entry, or no trade based on spread, speed, and liquidity.
- Separate research from belief. Keep out-of-sample periods, forward tests, and enough sample size before promoting a rule to the live playbook.
- Track expectancy, average win, average loss, win rate, MAE/MFE, time-in-trade, slippage, and rule-adherence rates.
- Any new filter should either improve expectancy or reduce variance. If it only makes the story sound smarter, delete it.

Advanced blind spot	Professional response
Correlation creep	Aggregate exposure across related markets or themes.
Narrative bias	Predefine invalidation before the trade, not after it.
Size creep after hot streaks	Cap risk by process state, not by confidence level.
Research overfitting	Use holdout data, forward testing, and simpler rules.
Complexity addiction	Remove variables that do not improve the decision.

Expert TL;DR

Sophistication is knowing what to ignore. A strong expert process often looks simpler than an intermediate one because weak variables have already been removed.

10. Trade Management and Exit Logic

Enter well, but also know what will make you stay, scale, scratch, or exit.

Trade management should be written before the order is placed. The market is uncertain; your process should not be. Most avoidable mistakes happen after entry, when the trader starts renegotiating the plan candle by candle.

1. Define invalidation first. The stop belongs where the trade idea is wrong, not where the position size feels comfortable.
2. Define the first objective before entry. Common choices are fixed R, opposing liquidity, or the next structural objective.
3. Only move to breakeven after price has earned it - for example after clearing nearby risk or confirming structure in your favor.
4. Use partial profits deliberately. They reduce variance, but can also cut expectancy if taken mechanically on every trade.
5. Use a time stop when appropriate. If price stays stuck in the zone or loses follow-through, the original premise may be weakening.
6. Re-enter only if a new trigger forms. Do not revenge-click the same level because "it has to work eventually."

Reasons to hold		Reasons to scratch or exit early
- Price displaced away from the zone with urgency. - Pullbacks remain shallow and structure stays intact. - The first objective has been reached and the runner still has structural support.		- Price accepts back through the zone. - No follow-through appears after the trigger. - A major event/session change is about to hit and the trade has not progressed.
Management principle Move the stop or take partials for structural reasons, not emotional reasons. If the reason is "I felt nervous," the real fix is usually smaller size or a clearer plan.		
Exit style	Best use	Common trap
Fixed R target	Simple playbooks and early training	Can cut strong trend trades too early if used mechanically.
Opposing liquidity	Price-action traders with clear pre-marked targets	Gets subjective if targets are not defined before entry.
Structure trail	Runners in strong continuation conditions	Can give back too much in ranges or choppy follow-through.

11. Risk Management: The Trade Is Sized by the Stop

A good setup with bad sizing is still a bad trade.

Risk management is the bridge between analysis and survival. Traders often spend too much time hunting better entries and too little time building better loss control. That is backwards.

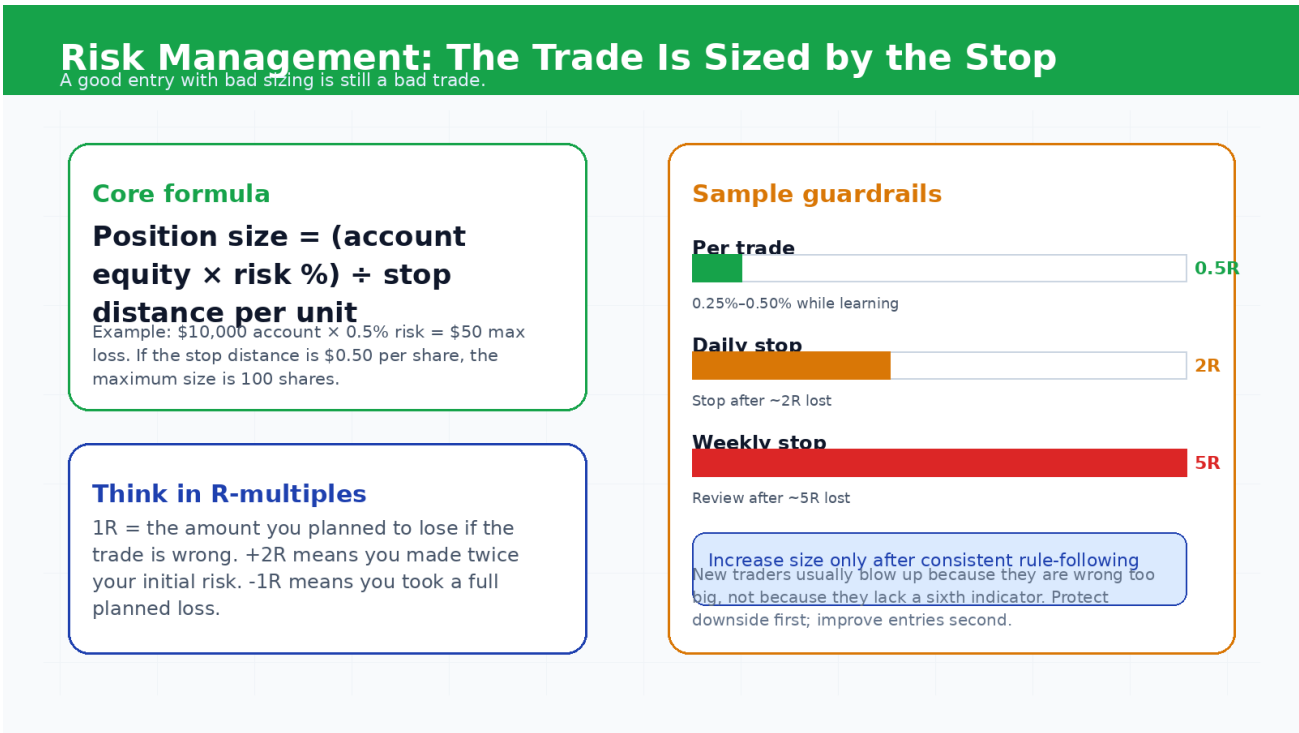


Figure 7. Position size should flow from a predefined risk amount and a structurally valid stop.

Core formula: Position size = (Account equity x Risk %) / Dollar stop distance

Worked example: A \$10,000 account risking 0.50% can lose \$50 on the trade. If the structurally valid stop is worth \$50 per contract/share bundle, the size is 1 unit. If the stop is worth \$25, the size is 2 units. If the stop is worth \$100, size must shrink or the trade must be skipped.

- Sample guardrails only - not universal laws: 0.25%-0.50% per trade while learning, daily stop at 2R, weekly stop near 5R, and smaller size during drawdowns.
- Never add size to a losing trade unless the scale-in was planned before entry and total risk stays inside the original cap.
- Leverage is a tool, not an edge. Unplanned leverage magnifies mistakes faster than it magnifies skill.
- Think in R-multiples so that performance can be compared across markets and account sizes.

Beginner TL;DR	Intermediate TL;DR	Expert TL;DR
- Primary mission: stay in the game long enough to learn. Small size is a feature, not a weakness. - If size feels emotionally heavy, it is too big.	- Start measuring expectancy in R and track how your playbook actually performs. - Tie size to setup quality and current process state, not to excitement.	- Manage distribution of returns, correlated exposure, and drawdown behavior - not just per-trade risk. - Advanced traders protect the downside first and let edge compound from there.

12. Psychology and Process

Consistency comes from routines and feedback, not from forcing certainty.

Most trading psychology problems are downstream of one of three issues: oversizing, unclear rules, or poor preparation. Emotional control is easier when the process is clean.



Figure 8. The feedback loop matters as much as the setup itself.

- The goal is not to eliminate emotion; it is to prevent emotion from changing the plan in real time.
- A valid loss is still a good trade if the plan was followed. A winning rule-break is still a bad trade.
- Journal the thesis, the context, the emotion, the result in R, and one sentence on what to repeat or avoid next time.
- Weekly review should identify rule breaks, strongest setups, weakest conditions, and one process change for the following week.

Beginner TL;DR	Intermediate TL;DR	Expert TL;DR
- Remove chaos first: smaller size, fewer trades, better screenshots, same routine every day. - You are not trying to feel fearless; you are trying to feel clear.	- Separate valid losses from avoidable losses and grade yourself on execution quality. - Most intermediate breakthroughs come from better filtering, not more courage.	- Optimize environment, decision hygiene, and review quality rather than relying on willpower. - Psychology improves when the process makes fewer discretionary emergencies.

13. A 30 / 60 / 90-Day Training Curriculum

Train the skill in phases: chart reading -> simulation -> micro execution.

A practical trading education path should scale complexity slowly. The point is not to "feel ready"; it is to meet objective standards before adding more speed, size, or freedom.

Phase	Focus	Drills	Promotion standard
Days 1-30	Auction logic, structure, zones	Mark up charts daily; build a screenshot library of fresh zones, BOS, sweeps, and trend changes.	Can explain bias, location, trigger, and invalidation in one sentence.
Days 31-60	One setup in replay or paper trading	Collect 50+ examples of the same setup and track results in R.	Checklist adherence is high and annotations are consistent.
Days 61-90	Micro-size or continue sim	Trade the same playbook live at tiny size; stop after rule-breaks, not after frustration.	Process is stable across several weeks and emotional load is manageable.
Beyond 90	Regime tags and advanced review	Separate trend, range, reversal, and post-news conditions; test improvements out-of-sample.	New variables earn their place with evidence, not with storytelling.

Training principle

Do not add new concepts just because the current one is boring. Boring repetition is where pattern recognition becomes usable skill.

A strong curriculum measures progress by clarity, repetition, and rule adherence - not by whether a small sample of trades happened to win.

Daily training habit	Minimum standard
Chart markup	Mark 3-5 fresh zones and at least one structure shift per session.
Replay work	Review at least 10 historical examples per week of the main setup.
Review discipline	Tag every trade as valid loss, invalid loss, or valid win.
Size progression	No size increase until rule adherence is stable over a meaningful sample.

14. Templates and Checklists

Turn the framework into paperwork simple enough to use every day.

The best checklist is the one you will actually use. Keep it short enough to survive real market conditions, but complete enough to prevent impulsive trades.

Pre-trade checklist Higher-timeframe bias clear? Zone fresh? Structural significance obvious? Nearby liquidity identified? Session and news acceptable? Trigger printed? Stop, first target, and size defined?	
Journal fields Date, instrument, session, setup type, screenshots, bias, zone, trigger, entry, stop, target, result in R, emotion, quality grade, and one lesson.	
Weekly review prompts Which setups actually paid? Which losses were valid versus avoidable? What time of day hurt performance? What rule broke most often? What one change will improve next week's process?	
Simple setup scorecard	Score 0-2
Higher-timeframe alignment	0 = unclear, 1 = mixed, 2 = strongly aligned
Freshness	0 = heavily mitigated, 1 = partial, 2 = first/clean revisit
Departure	0 = weak drift, 1 = moderate, 2 = strong displacement
Liquidity context	0 = random, 1 = decent, 2 = obvious sweep / target
Trigger quality	0 = no trigger, 1 = weak, 2 = clear BOS/reclaim/displacement

Use the score only as a filter - not as a substitute for judgment. The purpose is to reduce weak trades, not to pretend uncertainty can be removed.

15. Glossary

A shared vocabulary keeps chart review fast and consistent.

Term	Practical meaning
Accumulation	A phase where price builds a base before a possible markup; think balance before expansion.
Base	A small pause or consolidation before price leaves a zone.
Break of structure (BOS)	Price closes through a meaningful prior swing in the direction of continuation.
Change of character (CHOCH)	A sign that prior control may be weakening; not automatically a full reversal.
Demand zone	An area where buying previously overwhelmed selling and produced meaningful upside displacement.
Displacement	A move with visible urgency that closes through price levels instead of merely wicking them.
Distribution	A phase where price tops out or rotates before a possible markdown.
Fresh zone	A zone with little or no prior mitigation, often first-revisit quality.
Liquidity sweep	Price probes an obvious high/low or order pool before either rejecting or accepting beyond it.
Mitigation	A revisit into a prior zone where orders may be partially or fully filled.
R-multiple	Performance measured relative to the initial risk unit (1R = the amount risked).
Supply zone	An area where selling previously overwhelmed buying and produced meaningful downside displacement.

16. Selected Public References and Closing Notes

These sources informed the risk, structure, and process sections of this guide.

Selected references

- CMT Association - CMT Program Guide (2025/2026): trend identification, market structure, and risk-management framing.
- U.S. SEC - Foreign Currency Exchange (Forex) Trading for Individual Investors: leverage can magnify gains and losses, including loss of all initial capital and potentially more.
- FINRA - Margin Regulation / Know What Triggers a Margin Call: overview of initial and maintenance margin concepts for securities accounts.
- StockCharts ChartSchool - Support & Resistance: practical discussion of levels, zones, and role-reversal concepts.
- Bailey, Borwein, Lopez de Prado, and Zhu - The Probability of Backtest Overfitting: why advanced traders should treat testing and optimization carefully.

Closing note

A professional framework does not guarantee a profitable week, month, or quarter. What it gives you is a cleaner decision process, better feedback, and fewer avoidable mistakes. Most traders improve faster when they narrow the playbook, size down, and review more honestly.

Final reminder

Markets are uncertain by nature. Your edge comes from quality selection, disciplined risk, and consistent review - not from certainty. If this framework feels like "less," that is often a good sign. Cleaner decisions usually scale better than cleverer stories.

Educational disclaimer

This document is for education and training only. It does not provide investment, tax, accounting, or legal advice. Traders should verify product-specific margin rules, tick values, contract specifications, borrowing costs, and regulatory requirements with their broker or advisor before trading live capital.

Recommended next action

Pick one market, define one setup, print the checklist page, and build a 50-example screenshot library before changing the playbook. Depth beats novelty.